

To: Vulcan County Council

July XX, 2026

**Subject: Request for Reconsideration and Notice of Procedural Fairness Concerns
Bylaw 2026-007 – Palliser Grid AI Data Centre Campus**

Dear Members of Council,

I am writing regarding Council's decision to approve Bylaw 2026-007, redesignating lands from RG to RI for the proposed Palliser Grid AI Data Centre Campus.

While we respect Council's authority to make land use decisions, we respectfully submit that significant procedural and planning concerns remain unresolved and require further consideration:

1. The public hearing was procedurally unfair because material setback information from Administration and the Oldman River Regional Services Commission Planning Analysis of Location Suitability was disclosed only after the proceedings.
2. Council approved a redesignation for a known industrial use while knowingly creating a future conflict / non-compliance with its own setback standards.
3. Council failed to provide adequate reasons explaining why ESA protection was treated differently than Provincial Recreation protection.
4. Council failed to provide adequate reasons explaining why the 1.6 km setback from a water body was treated differently than Provincial Recreation protection.
5. Council & Administration incorrectly calculated the 1.6 km setback to the Provincial Recreational Area.
6. Council deferred a fundamental land-use compatibility decision to a future variance process instead of deciding whether the location was appropriate at the redesignation stage.
7. Application was woefully incomplete and was (and is still) missing material information showing bias for the Proponent.
8. Failure to properly consider relevant information and possible predetermination
9. Substantive change after public hearing reduced lands
10. Outstanding FOIP request and incomplete record
11. Failure to provide adequate reasons for decision

1. Procedural Unfairness: Material Setback Relaxation Information Was Not Part of Public Disclosure Prior to Public Hearing

Council relied upon or considered material planning information that was not available to affected parties during the statutory public participation process, thereby denying residents a meaningful opportunity to address the issue before Council made its decision.

Affected residents were not advised that Administration had identified that "the proposed redesignation is not required to meet this 1.6 km setback requirement. However, should a future industrial development be proposed across the full extent of the redesignated lands, the variance

required from this setback could be substantial". This is procedurally unfair and did not allow the public meaningful discussion on the issue.

This information was material to the submissions made by residents. Had this information been available prior to the public hearing, affected parties would have addressed:

- the purpose and intent of the setback requirement;
- whether a substantial future variance was appropriate given that the nature of the industrial development was disclosed – an AI Datacenter;
- why Administration was silent on the inclusion of Environmentally Sensitive Areas into the decision making process.
- why Council could not defer the setback issue to be dealt with during the future development permit process.

The issue is not that Administration provided professional advice to Council. The concern is that affected parties did not have a meaningful opportunity to respond to material planning information before Council made its decision.

From the Regular Meeting of Vulcan County Council – June 17th, 2026 Package, Administration states:

"A proposed grouped industrial development or an isolated industrial development considered by the Development Authority to be potentially hazardous, unsightly, or offensive should not be approved within 1.6 km (1 mile) of an incorporated urban municipality, hamlet, provincial, regional or municipal park or recreation area, environmentally significant area, or an existing or approved rural residence."

The proposed redesignation is not required to meet this 1.6 km setback requirement. However, should a future industrial development be proposed across the full extent of the redesignated lands, the variance required from this setback could be substantial. For example, the setback to the adjacent recreation area could be reduced by approximately 75% if development were to extend to the limits of the proposed Rural Industrial district. While this setback may be varied at a future development permit stage, Administration felt it was important to highlight this provision for Council's consideration.

Further, the approved redesignation creates a foreseeable conflict with the County's own planning framework. The intended use was known at the time of redesignation: a large-scale AI data centre campus with associated industrial infrastructure.

The variance process should not become a mechanism to resolve fundamental site-selection issues after a land use entitlement has already been created. A variance authority exists to address minor site specific circumstances, not to eliminate a fundamental planning separation established to protect sensitive uses.

The County itself created a planning framework recognizing ESA. Administration has acknowledged that the proposed development may require a substantial departure from that framework. Council should not have approved a redesignation that creates a foreseeable conflict with its own planning standards, especially removing restrictions that were relied upon by the public.

Oldman River Regional Services Commission Report

Furthermore, we again feel that the decision-making process was procedurally unfair due to the timing and circumstances surrounding the Oldman River Regional Services Commission report dated June 11, 2026.

The second public hearing occurred on June 10, 2026 and continued until approximately 6:00 p.m. During that hearing, affected residents provided submissions addressing significant planning concerns associated with Bylaw 2026-007.

The following day, June 11, 2026, a report was provided to Council by the Oldman River Regional Services Commission entitled Planning Analysis of Location Suitability – Proposed Bylaw 2026-007 – Response to Matters Raised at Public Hearing, which purported to address matters raised during the public hearing and provide further analysis.

The timing of this report raises significant procedural fairness concerns. It is unclear how a comprehensive analysis of submissions made during a public hearing concluding at approximately 6:00 p.m. the night before could reasonably have been completed, internally reviewed and then prepared for Council consideration by the following day.

The timing gives rise to a reasonable concern that the analysis was substantially prepared based on information from the prior April 1, 2026 hearing or other discussions not available to affected parties, rather than solely on submissions made during the June 10th hearing.

If the next day turn around time of this June 11th report was indeed correct, then the equivalent timing should have been expected from the April 1st public hearing which would have Council receiving a substantially similar analysis by April 2nd. This should have been made public.

If the report was based on earlier submissions, this should have been disclosed. If the report incorporated new analysis or conclusions, affected parties should have been provided an opportunity to review and respond before Council relied upon it in making its decision.

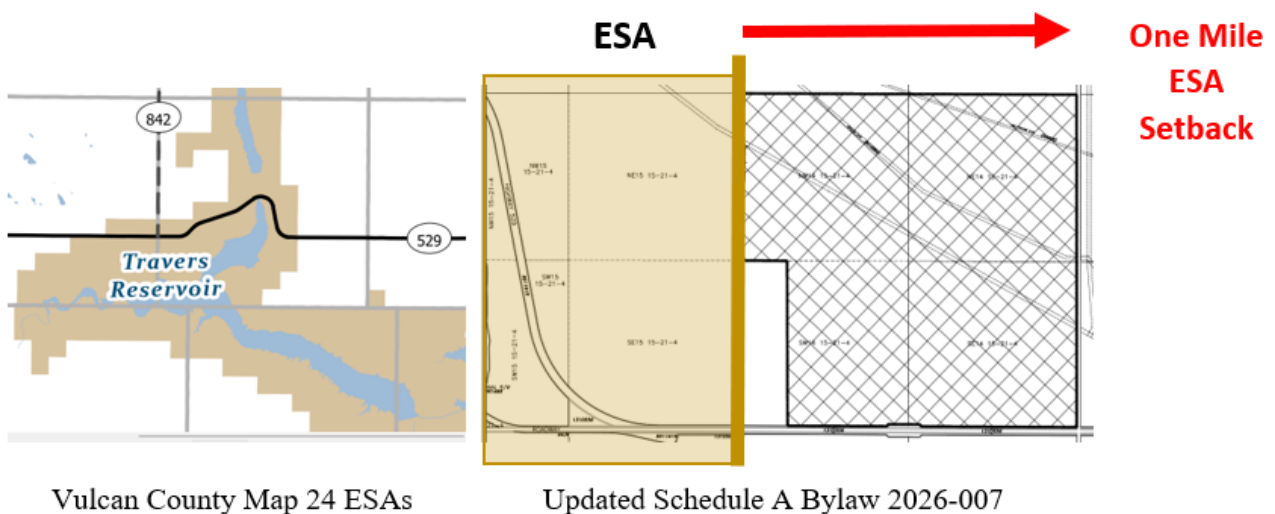
Council's reliance on material analysis that was not available to affected residents, and to which they had no meaningful opportunity to respond, undermined the fairness and transparency of the public hearing process.

A public hearing is intended to provide affected parties with a meaningful opportunity to present their views on the same evidentiary record considered by Council. That opportunity was compromised where Council received additional analysis immediately following the hearing without corresponding opportunity for public review or response.

2. Council Created a Known Future Non-Compliance With its Own Setback Standards

Council approved a land use change despite knowing that the specific development being enabled would require a substantial relaxation of the County's own planning standards. A variance process should not be used to correct an inappropriate site-selection decision after redesignation.

The concern is not that Council lacked authority to make a planning decision. The concern is that Council appears to have treated two sensitive receptors differently without providing adequate reasoning. The County's Industrial Siting Standards 13.1 identify ESAs requiring separation from industrial developments. Council must explain why a major industrial use adjacent to an ESA is appropriate when the County's own planning framework recognizes the need for separation. Economic balance is not the consideration here.



3. ESA Protection Was Treated Differently Than Provincial Park / Recreation Protection

The principal concern relates to the treatment of the County's 1.6 km industrial setback considerations, including the setback from Environmentally Significant Areas (ESA). The Proponent in its application and the Vulcan County were both silent in this consideration and offered no discussion to the public on this issue until after the public hearing. There was no consideration to the ESAs in the County's decision making process. This is in violation of policy 2.7.1 below which states the County SHALL endeavor to protect Environmentally Sensitive Areas. The County adopted the standard because it determined that industrial uses require separation from sensitive areas.

Bylaw 2025-011 Vulcan County Municipal Development Plan:

GENERAL POLICIES:

- 2.7.1 The County shall endeavour to protect environmentally significant areas (as per the report, “Environmentally Significant Areas in the Oldman River Region” completed for Vulcan County in 1988), and other significant natural areas and resources from inappropriate development.
- 2.7.2 The Environmentally Significant Areas Map 24 (Alberta Government, 2009) provides a limited perspective of the landscape. Additional environmentally significant areas exist throughout the County which may be identified by the applicable County decision making entity.

Council, in its decision making process, reduced the application area from approximately 850 acres to 595 acres due to the radius of the setback from the provincial recreational area, but did not accommodate the ESA setback.

We are confused as to why Council maintained the setback considerations relating to provincial recreational lands while not applying equivalent consideration to the identified ESA. The decision record does not clearly explain the planning rationale for this distinction.

Municipal Development Plan Context

Administration notes that the Municipal Development Plan does not contain any policies that specifically contemplate, support, or prohibit a development of this nature. Instead, the MDP provides a broad framework that encourages economic diversification while recognizing agriculture as the primary land use and requiring consideration of compatibility with surrounding land uses. Council's consideration of the redesignation therefore involves balancing several policy objectives rather than applying a single policy direction.

We are concerned that Administration's opinion above is silent on the ESAs and goes against years of environmental protection as seen below by the purpose of Bylaw 97-018 McGregor, Travers, Little Bow Reservoir Area Structure Plan and the County's RI siting standards as set out under 13.1.

Bylaw 97-018 McGregor, Travers, Little Bow Reservoir Area Structure Plan

1.2 PURPOSE

The existing area structure plan for McGregor, Travers and Little Bow Reservoirs was adopted in 1985 by the County of Vulcan No. 2 as Bylaw No. 85-006. In the twelve years that have passed since its adoption, the amount and kinds of development surrounding the reservoir have intensified, provincial legislation governing planning and development has changed substantially and new concerns and issues have been identified such as the role of the environment in land use planning decisions. In particular, provincial government departments such as Alberta Environmental Protection and Alberta Agriculture, Food and Rural Development and agencies such as the Bow River Irrigation District have a vested interest in the protection of the reservoirs, canal systems, public lands and resources adjoining the reservoirs from the potential adverse effects of land use decisions made on adjacent private land.

In response to these changes the Council of the County of Vulcan No. 2 and its planning advisor, the Oldman River Intermunicipal Service Agency, initiated a review of Bylaw No. 85-006 to provide guidelines for development of private land holdings within the area structure plan boundaries while maintaining a high level of protection for environmentally significant areas and provincial investment into the 21st century.

Note: At the time the Proponent acquired the property in 2014, the lands were already subject to an established municipal planning framework recognizing the environmental significance and sensitivity of the surrounding area. The ESA designation, recreational significance of the Travers Reservoir area, and related planning considerations were matters that existed prior to the purchase of the property and would reasonably have formed part of the purchaser's due diligence in assessing the suitability of the lands for future development.

The purchase of lands does not create an entitlement to a subsequent amendment of municipal planning policies, nor does it shift the responsibility for site selection onto the municipality or surrounding community. Rather, purchasers acquire land subject to the planning framework, environmental constraints, and development limitations that exist at the time of acquisition.

The Proponent's decision to acquire the property in 2014 was therefore made with knowledge, or constructive knowledge, that the lands were located within or adjacent to areas identified as environmentally sensitive and subject to established planning considerations.

The purpose of environmental designations and setback standards is to guide appropriate development locations before significant investment decisions are made. They are not intended to be removed or substantially relaxed after acquisition simply because a proposed use may be economically significant or beneficial to the applicant.

Approving a redesignation that requires substantial relaxation of established planning standards would effectively transfer the consequences of the Proponent's site selection decision onto the municipality, affected residents, and environmentally sensitive lands.

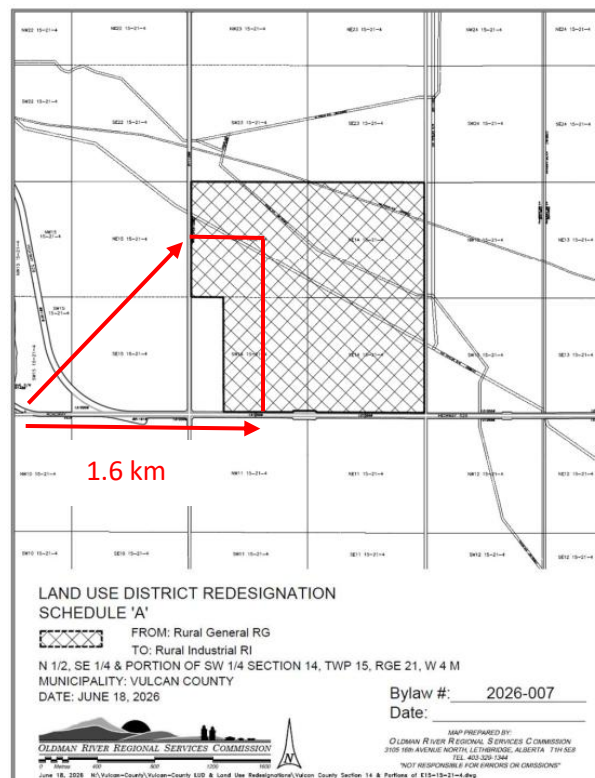
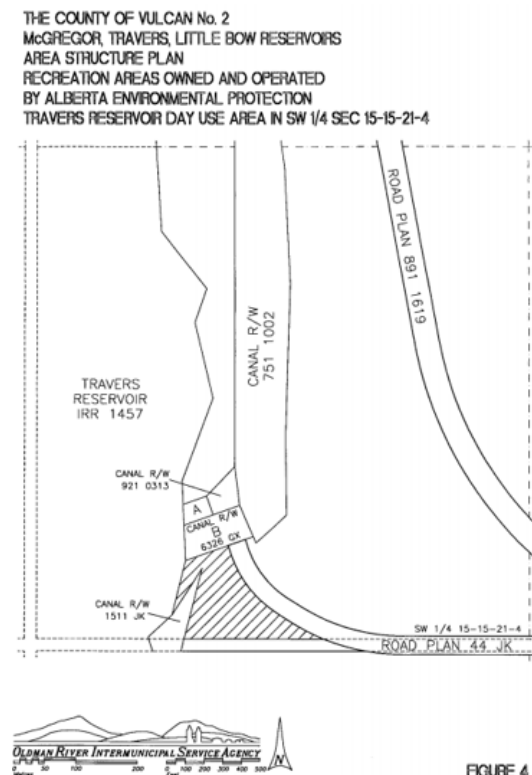
The appropriate planning question is not whether the proposed use is desirable in isolation, but whether this particular location remains appropriate when considered against the planning framework that existed when the property was acquired.

4. **Council failed to provide adequate reasons explaining why the 1.6 km setback from a water body was treated differently than Provincial Recreation protection.**

The 1.6 km setback from the water's edge of the Travers reservoir was also not used. This would have further reduced the land allotted in NW.

5. **Council and Administration incorrectly calculated the 1.6 km setback to the Provincial Recreational Area.**

During the June 17, 2026 meeting Council and Administration attempted to impose the 1.6 km setback from the Provincial Recreational Area on the Application. The error that occurred is that the measurement was taken from the WESTERN boundary of the Provincial Recreational Area and not the EASTERN boundary as required. This resulted in an actual setback of approximately 1.35 km vs the required 1.6 km.



6. **Council deferred a fundamental land-use compatibility decision to a future variance process instead of deciding whether the location was appropriate at the redesignation stage.**

The AI Datacenter is improperly sited and represents an incompatible land use. The County can not defer the setback issue to be dealt with during the future development permit process. The intended industrial use was known to be an AI Datacenter which includes large industrial structures, associated power infrastructure, cooling systems and a large industrial impact in an existing quiet agricultural / recreational / environmentally sensitive area.

Council improperly deferred a fundamental land use compatibility issue to a later stage instead of determining whether the proposed industrial designation was appropriate. Council can not just approve Rural Industrial zoning and the details will come later.

Note: The Rocky View County (RVC) just recently denied Kinetikor's application to build a data centre on lands that were zoned "Agricultural" after hearing the frustrations of many farmers and residents. Source: Airdrie City View Weekly.

If the RVC can deny the industrial land use redesignation, why can not the Vulcan County?

7. **Application was Woefully Incomplete and was Missing Material Information yet Proceeded showing Bias for the Proponent.**

The application placed before Council was materially incomplete in respect of fundamental planning considerations necessary to evaluate the appropriateness of the proposed land use redesignation. Please see Ron Girvitz June 3, 2026 Brief of Argument for complete details.

The redesignation was advanced for a specifically identified industrial use: a large-scale AI data centre campus and associated infrastructure. The impacts of that development were therefore not hypothetical or speculative. They included known issues relating to visual impact, noise, fire risk, environmental sensitivity, compatibility with recreational uses, and compliance with the County's own industrial siting standards.

Council was asked to approve a fundamental change in land use based on an application that deferred critical compatibility issues to future stages of approval. The redesignation decision effectively established the planning entitlement before the impacts of the intended use had been adequately assessed.

The County treated matters that were central to the appropriateness of the location as matters of future development approval, when those matters were directly relevant to whether the land should be redesignated in the first place.

The intended use was known. The scale, industrial character, proximity to sensitive receptors, and potential environmental impacts were not speculative. These factors should have been evaluated before Council created the industrial land use designation.

The decision-making process created a reasonable perception that the interests of the proponent were prioritized over the County's established planning framework and the concerns of affected residents:

- An incomplete application was accepted and advanced;
- Administration assisted the proponent in resolving deficiencies;
- material information was provided to Council/public only after the hearing;
- setback issues were deferred;
- application was amended/reduced after the hearing;
- public was not given equivalent opportunity to respond;
- economic benefits were emphasized while planning conflicts were minimized.

Despite these known issues, Council approved the redesignation while deferring critical matters to future approval stages, including setback compliance and potential variance requirements.

The decision effectively reversed the proper planning sequence by creating industrial development rights before determining whether the proposed use was compatible with the surrounding area.

The process failed to provide a fair and transparent decision-making framework and that Council's decision was unreasonable because it relied upon an incomplete record and failed to adequately reconcile the proposed development with the County's own planning standards and policies.

Note: a good example of the incomplete application can now be found within Palliser Grid's own website – the project is now to include power generation with natural gas mix and hydrogen for seasonal blending with a thermal management reservoir. As well, Agrivoltaic build-outs that unlock dual land use under panels. None of this was within the original application as it was grossly deficient. None of this was part of the Public record for discussion.

8. Failure to Properly Consider Relevant Information and Possible Predetermination

The decision-making process raises concerns regarding whether Council properly exercised its statutory discretion with an open mind.

The circumstances surrounding Council's deliberations raise concerns regarding whether the decision was reached through an open and impartial consideration of the complete record.

Councillor Logan had prior involvement in advancing the application and had voted against the decision to expand public notification of the proposal to residents that were directly and adversely affected. During subsequent Council deliberations, Councillor Logan took a prominent role in advocating for approval and strongly challenged the positions of other Council members who identified outstanding information deficiencies and requested additional information before proceeding.

During deliberations, Councillors Northcott and Gateman identified that significant information remained outstanding and expressed that they were not prepared to proceed without additional information from the applicant.

Despite those identified deficiencies, Council proceeded to a final vote rather than obtaining additional information or deferring consideration of the application.

This raises concerns regarding whether Council adequately considered the completeness of the evidentiary record and whether the decision was made based on sufficient information.

Further, certain Council members appeared to approach deliberations with predetermined positions supported by detailed prepared submissions and arguments favouring approval before unresolved concerns raised by other members had been addressed.

The Applicant does not suggest that Council members are prohibited from forming preliminary views. However, municipal decision-makers must remain open to considering relevant information and must genuinely deliberate before exercising statutory authority.

The circumstances raise a reasonable concern that the decision-making process was focused on advancing a predetermined outcome rather than determining whether the proposed redesignation was appropriate based on a complete and balanced record.

This conduct, considered together with the incomplete application record, unresolved planning issues, and post-hearing information provided to Council, raises a reasonable apprehension that the process did not provide the fair and impartial consideration required for a significant land use decision.

9. Substantive Change after Public Hearing / Reduced Lands

Council elected to reduce the application from approximately 850 acres to 595 acres. The Public did not have an opportunity to comment on the final 595 acre configuration. This configuration did not eliminate the very impacts that were raised during the hearing.

We respect that Council has authority to amend bylaws; however, that authority must be exercised consistently with the principles of procedural fairness. The public hearing process must relate to the proposal Council ultimately considers. If material changes are introduced after the hearing, affected residents should have an opportunity to review and comment on those changes before Council proceeds.

1. The public did not have Administration's complete analysis before the hearing
2. Material planning information emerged afterward;
3. Council considered amendments after public participation ended and made material changes to the application.

Council approved a materially altered application after the public hearing with no further public input or discussion.

10. Outstanding FOIP Request and Incomplete Record

Council proceeded with a decision while relevant information regarding the application, Administration's analysis, and planning considerations remained unavailable to affected parties. This made the process unfair and incomplete.

11. Failure to Provide Adequate Reasons

Council has not provided reasons sufficient to understand why the decision was made. The issue is that Council did not address the major objections of:

- Why was the ESA setback not applied?
- Why was a major industrial use appropriate adjacent to an ESA?
- Why was a future setback reduction acceptable?
- How did Council reconcile the decision with the industrial sitting standards?

Conclusion

Given the significance of this matter, we respectfully request:

1. A written explanation of Council's rationale for approving the redesignation despite the identified setback conflict;
2. Confirmation of when Administration completed its setback analysis and when it was originally first provided to Council (both in draft and final);
3. Confirmation of when Council / Administration received the Oldman River Regional Services Commission report (in draft or final for the April 1st and June 10th, 2026 public hearings);
4. Disclosure of the planning rationale supporting the treatment of the ESA setback differently from the provincial park/recreation setback;
5. Rationalization of why affected parties were not provided an opportunity to respond to this material information before the decision is finalized.

Should Council continue to proceed without addressing these concerns, we reserve all rights available to affected parties, including seeking judicial review of the decision on the basis of procedural unfairness, failure to consider relevant planning considerations, and unreasonable exercise of statutory discretion.

This correspondence is respectfully submitted for inclusion in the official record.

Sincerely,

David Anderson
Little Bow Resort AI Data Centre Committee

CC:

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